

EU defence

Nato in ‘turf war’ with EU over defence spending

At heart of dispute is buying US weapons with EU money



Soldiers on amphibious vessels take part in Nato exercises in Germany. Nato has long opposed Brussels taking on defence powers © Fabian Bimmer/Pool/AFP/Getty Images

Henry Foy in Brussels

Published YESTERDAY

The EU and Nato are at odds in what officials describe as a “turf war” over how to manage an extra \$1tn a year rearmament drive prompted by Donald Trump’s threats to European security.

The US-led military alliance, which has underpinned Europe's security since the second world war, has long opposed Brussels taking on defence powers. But the US president's demands on allies to invest more in their own militaries have forced an overhaul of arms production policy — an area where the EU has greater expertise than Nato.

“There's a turf war over defence industrial policy,” said one of the officials. “This is about who manages the production scale-up, and what impact that has on the weapons Europe will be using in the future.”

One key aspect of the debate is what role US weaponry should play in the rearmament push, with Nato opposed to the EU's “Buy European” approach across its wider industrial policy strategy.

“Both EU and Nato agree on the need for Europeans to take the lead on conventional defence of the continent. But they differ on the way to get there,” said Giuseppe Spatafora, research analyst at the European Union Institute for Security Studies.

The EU wanted “to promote intra-European defence industrial collaboration . . . For Nato, defence industrial policy must remain transatlantic”, Spatafora added.

European Commission president Ursula von der Leyen is set to meet Nato secretary-general [Mark Rutte](#) on Thursday after having held a meeting with Alexis Grynkewich, Nato's Supreme Allied Commander Europe. Industrial policy is among the key topics on the agenda, according to people familiar with the meeting preparations.

Trump's hostility towards Europe, including his push to take Greenland from Nato ally Denmark, had only reinforced the Commission's view that "strategic autonomy" in defence production was critical to reducing the bloc's reliance on the US, said two EU officials. They added that there was a rising sense of frustration with Rutte over his resistance to back that approach.

European Commission president Ursula von der Leyen with Nato secretary-general Mark Rutte, who this year said Europe was 'dreaming' to think it could protect itself without the US © Nicolas Tucat/AFP/Getty Images

“It’s becoming increasingly clear that we need this stuff quickly, in large quantities and cost-effectively,” said one of the EU officials. “And the way to do that is to manufacture it at home.

“Nato can define what [types of weaponry] we need. But when it comes to regulatory and financial tools to get there, they have very little to offer,” the official added.

Nato officials have bristled at recent EU initiatives, including plans to build a European air and missile defence system, a so-called “drone wall” for countries bordering Russia and bolstering the EU’s central military staff. These efforts are seen as part of von der Leyen’s push to make rearmament central to her legacy.

A Nato diplomat suggested the Commission should stick to areas where it already had expertise: “Sign some good trade deals and stay out of the way of transatlantic security.”

Rutte irked EU officials earlier this year, when he said the continent was “dreaming” to think it could protect itself without the US.

“I think Putin will love it. So think again,” Rutte told the European parliament. “There will be a lot of duplication . . . It will make things more complicated,” he said in reference to EU defence efforts.

European defence industry groups have expressed frustration over the “constant frictions” between Nato and the EU.

“It should be about how we organise ourselves to deliver at the fastest pace. And turf wars don’t help that,” said Camille Grand, secretary-general at the Aerospace, Security & Defence Industries Association of Europe.

“At a moment where the US [defence-industrial] system is overheating to make up for the war in Iran, and where Europe is spending so much more, it seems obvious that there is a role for both Nato and the EU,” said Grand, a former senior Nato official.

The tussle has also become more pointed as Nato prepares for its leaders’ summit in Ankara in July. Alliance officials want to make defence industrial policy a central focus of that gathering, according to two diplomats from EU and Nato member states.

EU officials say they want Commission policies to align with Nato guidelines, standards and defence planning strategies.

There are signs of complementarity. The EU last year carved out defence spending from its fiscal rules to help capitals meet a new Nato target of allocating 5 per cent of GDP to the military and related infrastructure. If the 23 EU members that are also Nato allies hit that target, it would amount to a combined \$1tn increase in annual defence spending compared with 2024 levels.

Brussels also made €150bn in low-interest loans available for governments to fund weapons purchases. The loans are designed to support EU industry but can be used for US weapons where there are no European options available.

Germany, the EU's most powerful member and the bloc's biggest defence spender, favours charting a middle course.

Officials in Berlin believe Europe must plug capability gaps such as long-range weapons, satellite communications and reconnaissance. But they oppose moves to close Europe off from US systems such as Patriot air defence systems and F-35 fighter jets.

As a rule, however, Germany is seeking to ensure that its own companies benefit as much as possible from its €550bn defence budget over the next four years.

A procurement law passed by the Bundestag in January has made it easier to exclude non-EU bidders — including subcontractors — from defence deals.

“You have the EU wanting to consolidate its new role in supporting capability development, and at the same time Nato trying to be more active in industrial issues,” said Grand.

“Ultimately it is member states . . . which decide where 90 per cent of the money is spent.”